higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

NATIONAL CERTIFICATE (VOCATIONAL)

FINANCIAL MANAGEMENT
NQF LEVEL 3

(3011013)

13 March 2019 (X-Paper)
09:00–12:00

Nonprogrammable calculators may be used.

This question paper consists of 12 pages and an answer book of 17 pages.

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TIME: 3 HOURS
MARKS: 200

INSTRUCTIONS AND INFORMATION

1. This question paper consists of two sections: SECTION A and SECTION B.
2. Read ALL the questions carefully.
3. Answer ALL the questions in the attached ANSWER BOOK.
4. Use only BLUE or BLACK ink.
5. Number the answers according to the numbering system used in this question paper.
6. Show ALL calculations.
7. Use the table below as a guide on how much time to spend on each question.
8. Write neatly and legibly.

QUESTION NUMBER	TOPIC	MARKS	RECOMMENDED TIME
1	Short questions (multiple choice, match the column, complete the sentence and choose a word/term) ALL topics integrated	40	36
2	Calculate and record Value Added Tax transactions	40	36
3	Prepare salaries and wages journals The petty cash system	40	36
4	Compile reconciliation statement	40	36
5	Basic manual administration of non-current assets	40	36
	TOTAL:	**200**	**180 minutes**

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SECTION A

QUESTION 1

1.1 Various options are given as possible answers to the following questions. Choose the correct answer and write only the letter (A–D) next to the question number (1.1.1–1.1.10) in the ANSWER BOOK.

1.1.1 Outstanding credits and debits recorded on the bank statement will be recorded in the …

A cash book.
B cash receipts journal.
C cash payments journal.
D bank account.

1.1.2 … is a deduction from an employee's salary/wage for retirement purposes.

A Medical aid
B Pension
C PAYE
D UIF

1.1.3 Calculate the VAT input tax on a tax invoice of R25 000 (VAT inclusive) received from a supplier.

A R3 500
B R3 070,18
C R28 500
D R28 070,17

1.1.4 Calculate the amount of VAT charged on a loaf of brown bread purchased for R10.

A R0,00
B R1,40
C R1,22
D R10,01

1.1.5 Which ONE of the following is NOT an example of a non-current asset:

A Land
B Computer
C Inventory
D Machinery

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1.1.6 Which ONE of the following is NOT a long-term liability?

A Mortgage bond
B Long-term loan
C Overdraft
D Vehicle finance

1.1.7 A/An … is a cheque returned by the bank due to insufficient funds.

A stale cheque
B dishonoured cheque
C post-dated cheque
D order cheque

1.1.8 The selling price plus the VAT amount is equal to the …

A VAT exclusive amount.
B gross income amount.
C gross profit amount.
D VAT inclusive amount.

1.1.9 A/An … provides information regarding the financial position of a business.

A cash flow statement
B income statement
C balance sheet
D trial balance

1.1.10 Calculate a trade discount of 10% on an amount of R5 600 (VAT exclusive).

A R78,40
B R687,72
C R491,23
D R560,00

(10 × 1) (10)

1.2 Choose a term from COLUMN B that matches a description in COLUMN A. Write only the letter (A–L) next to the question number (1.2.1–1.2.10) in the ANSWER BOOK.

COLUMN A		COLUMN B	
1.2.1	Hours worked beyond normal time	A	capital expenditure
1.2.2	Debts of the business	B	cash flow
1.2.3	Purchase of non-current assets	C	VAT exempted
1.2.4	Earnings before necessary deductions	D	bank charges
1.2.5	Salary less possible deductions	E	vendor
1.2.6	Service fees, tax levy and cheque book fees	F	capital budgeting
1.2.7	Future planning, monitoring and managing the investment in non-current assets	G	imprest
1.2.8	The system that restores the petty cash amount	H	liability
1.2.9	Financial services	I	overtime
1.2.10	Individual or business registered with SARS for VAT purposes	J	gross salary
		K	net salary
		L	interest charged

(10 × 1) (10)

1.3 Complete the following sentences by filling in the missing words. Write only the word or words next to the question number (1.3.1–1.3.10) in the ANSWER BOOK.

1.3.1 VAT is the amount of money collected by a business on behalf of …

1.3.2 The amount of VAT paid by a business on goods and services bought from suppliers is called …

1.3.3 An incorrect calculation of VAT can be a possible reason for a … in figures obtained.

1.3.4 VAT is … to SARS when the total VAT input is more than the total VAT output.

1.3.5 Compensation that workers receive for work done is called …

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1.3.6 Gross wages less pension contributions by an employee is called … income.

1.3.7 The … journal is used for recording payments of small amounts.

1.3.8 A … is the total amount of money provided for change in a business.

1.3.9 A … is an individual who purchases from a business on credit.

1.3.10 … can easily be converted into cash within a short period of time.

(10 × 1) (10)

1.4 Give ONE term for each of the following descriptions by choosing a term from the list below. Write only the term next to the question number (1.4.1–1.4.10) in the ANSWER BOOK.

straight line; depreciation; one million; reconciliation; petty cash voucher; cash receipts journal; VAT201 return; monthly; favourable; debits; VAT404 form; fifty thousand

1.4.1 The process of comparing and matching amounts from accounting records

1.4.2 This column on a bank statement will be compared with the cash payments journal

1.4.3 A debit bank balance is also known by this term

1.4.4 This document will validate a transaction of pens and pencils bought for R10

1.4.5 Cash sales of merchandise is entered into this journal

1.4.6 When the sales/turnover reaches this figure in a year, a business is compelled to register with SARS for VAT purposes

1.4.7 A business with a turnover of R30 000 000 and above should make a VAT submission on a … basis

1.4.8 This formal document is completed when making a submission to SARS for VAT purposes

1.4.9 It decreases the value of an asset as a result of wear and tear

1.4.10 This method is used to calculate the reducing value by dividing the value of the asset by its useful life

(10 × 1) (10)

[40]

TOTAL SECTION A: 40

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SECTION B

QUESTION 2

Alma Traders is a registered VAT vendor. VAT is recorded at 14% on the invoice basis.

NOTE: Alma Traders do not make use of separate VAT input and output accounts, but post directly to the VAT control account.

ALL amounts are VAT *exclusive*.

TRANSACTIONS

June 2017	01	Issued receipt no. 110 for cash sales of merchandise, R20 500.
	03	Bought new equipment from Kwazi & Co, and paid by cheque 123, R30 000.
	06	Issued cheque 124 to City Council for water and electricity used, R1 500.
	07	Received R2 500 from R. Road for rent of offices in the building, and issued receipt no. 111.
	08	Receipt no. 112 was issued to the owner, M. Mable, who increased the capital contribution by R80 000.
	23	Sold goods on credit to J. Mandy for R5 880 (cost price R3 920), and issued invoice no. 1.
	24	Bought equipment for R5 800 and trading stock for R1 200 from AG Distributors on credit and received invoice no. 50.
	27	Merchandise for R240 (cost price R16) was not according to the specifications of J. Mandy, therefore credit note no. 01 was issued.
	28	Sent a debit note no. 01 to AG Distributors for damaged items as follows: Equipment, R850 Trading stock, R235

REQUIRED (Round off all answers to TWO decimal places)

2.1 Record the transactions above in the appropriate subsidiary journals for June 2017. Total only the VAT columns in all the journals at the end of the month. (32)

2.2 Post ONLY to the VAT control account in the general ledger. Balance off the account at the end of the month. (8)

[40]

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QUESTION 3

3.1 Prepare the wages journal of Flower Power for the week ending 18 August 2017, using the information provided below:

Flower Power's staff work 8 hours per day, 5 days per week and 22 days per month.

Remuneration:

- Normal time: R65 per hour
- Weekday overtime: Normal wage per hour × 1,33
- Saturday overtime: Normal wage × 2

DEDUCTIONS FOR ALL EMPLOYEES

- Income Tax (PAYE): 17,5% of taxable income
- Pension fund: 7,5% of normal wage of employee
  The employer contributes R2 for every R1 contributed by the employee.
- Medical fund: R20 per week
  The employer contributes R1,50 for every R1 contributed by the employee.
- UIF: 1% of gross income of employee
  The employer contributes the same % of the employee's gross income.

Employees' information:

- Petal Oliver worked 43 hours in total during the week. This includes 1 hour overtime during the week and 2 hours overtime on Saturday.
- Thabo Green worked 40 normal hours in total for the week. He did not work overtime and he is not a member of the medical aid scheme.

REQUIRED

Complete the Wages Journal of Flower Power for the week ending 18 August 2017. Do not total the journal columns.

Round off ALL figures to TWO decimal places.

NO posting is required. (23)

3.2 The following petty cash transactions was recorded in the books of Confidence Cosmetics for the month of June 2017. The business uses the balance varying system.

NOTE: Applicable amounts are VAT inclusive.

June 2017	05	Bought stamps for R17,10 (Voucher no. 01)
	11	Paid R28,50 for printing papers from AKC Stationers (Voucher no. 02).

16 The owner took R65,00 from the cash register to purchase KFC for a family member (Voucher no. 03).

18 Bought white board markers for R51,30 for presentation purposes (Voucher no. 04).

25 Gave a donation of R75 to the local soccer club (Voucher no. 05).

28 Paid postage for an insured parcel R19,95 (Voucher no. 06).

REQUIRED

3.2 3.2.1 Complete the petty cash journal of Confidence Cosmetics for June 2017.
Total ONLY the petty cash column. (14)

3.2.2 Post to the Petty Cash account in the general ledger and balance the account off at the end of the month. A cheque of R700 had been issued and cashed on 1 June 2017. (3)
[40]

QUESTION 4

Riverside Valley have provided you with the following information for their financial year ending 30 September 2017.

4.1 Make supplementary entries in the cash receipts journal and cash payments journal. Total only the bank column in both journals on 30 September 2017. (15)

4.2 Post to the bank account in the general ledger and balance off the bank account. (3)

4.3 Prepare the bank reconciliation on 30 September 2017. (6)

INFORMATION

A comparison of the bank statement, received from Reach Bank, with the Cash Receipt Journal and the Cash Payments Journal on 30 September 2017 reflected the following differences:

(a) The following cheques have not yet been presented for payment at the bank:

No. 684 R1 400
No. 686 R1 650

(b) The bank statement showed a credit balance of R2 598 on 30 September 2017.

(c) Reach Bank charged Riverside Valley with the following amounts on the bank statement:

R35 service fee
R77 cheque book
R60 credit card levy

(d) A deposit of R650 did not appear on the bank statement.

(e) A cheque of R300, received from the debtor B. Britney, was dishonoured by the bank due to insufficient funds.

(f) A deposit of R1 100 was paid directly into Riverside Valley's account by N. Naomi in settlement of an account outstanding.

(g) A cheque of R175 withdrawn by the owner from her personal account, appears on the business's bank statement.

(h) The bank statement showed a debit order of R375 in respect of an insurance premium paid to Debby Insurers.

(i) Reach Bank credited Riverside Valley's account with an amount of R120 for interest.

4.4 The following information was taken from the books of TRF Enterprises. Ignore VAT for this question.

Balances taken from the creditors ledger on 31 August 2017:

Mpho Suppliers	R 8 500
Iren Traders	R 6 000
Phethany Stores	R15 500

The Creditors Control account in the General Ledger has a credit balance of R30 000.

After a closer investigation, the following information was found in the bank statement received on 31 August 2017:

- Cheque no. 75 was issued to settle the account of Mpho Suppliers. This transaction was never recorded.
- Debit note no. 85 for products of R500 returned to Phethany Stores due to incorrect specification, was not recorded.

REQUIRED

Make use of the information above to make appropriate entries in the ANSWER BOOK.

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4.4 4.4.1 Make journal entries in the General Journal to give effect to the transactions above. Do not total the columns. (10)

4.4.2 Make the necessary entries in the creditors individual ledger accounts of TRF Enterprises. (6)
[40]

QUESTION 5

The following information was taken from the assets of Turn Heads Saloon. Ignore VAT for this question.

The policy of the organisation is to depreciate all equipment at a rate of 15% per annum using the diminishing balance method. The financial year ends on 30 December 2017.

5.1 Use the extract from the asset register below to complete the missing details (indicated with question marks) in the ANSWER BOOK.

Round off to TWO decimals. (18)

TURN HEADS SALOON

Asset description: **Music system**
General ledger account: **Equipment** Bought from: **Sollys Ltd**
Date purchased: **31 August 2015** Cost Price : **R12 500**
Depreciation method: 15% diminishing balance method
Date sold: Sold to: Selling price:

Date	Cost	Depreciation	Accumulated Depreciation	Carrying amount
31 August 2015	R12 500			R12 500
31 December 2015		?	?	?
31 December 2016		?	?	?
31 December 2017		?	?	?

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5.2 On 31 July 2017, Turn Heads Saloon sold a vending machine for R11 800 cash to M. Bugana. The vending machine had been purchased for R15 000 on 1 January 2016.

Depreciation is calculated at 20% per annum using the straight line method.

REQUIRED

5.2.1 Calculate the total accumulated depreciation up until the date sold. (5)

5.2.2 Complete the asset disposal general ledger account. (5)

5.2.3 Complete the profit or loss on sale of asset general ledger account. (2)

5.2.4 Explain what impact the above profit or loss on sale of asset will have on the financial position of the business. (3)

5.3 The accounting clerk at Turn Heads Saloon made errors in the trial balance below on 30 November 2017, and it does not balance.

TRIAL BALANCE OF TURN HEADS SALOON – 30 NOVEMBER 2017

	DEBIT (R)	CREDIT (R)
Balance Sheet section		
Capital		120 000
Equipment		64 700
Bank (favourable)	18 750	
Petty cash		1 000
Debtors control	72 110	
Nominal section		
Sales	63 555	
Cost of sales		27 800
Telephone	2 370	
Rent income	4 000	
Stationery	825	
	161 610	213 500

Draw up the trial balance, indicating the debits and credits on the correct side for it to balance. (7)

[40]

TOTAL SECTION B: 160
GRAND TOTAL: 200

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EXAMINATION NUMBER: | | | | | | | | | | | | | |

CENTRE NUMBER: | | | | | | | | | | | |

FINANCIAL MANAGEMENT L3

13 MARCH 2019

ANSWER BOOK

QUESTIONS	MARKS ALLOCATED	MARKS ACHIEVED	MODERATED MARKS
SECTION A			
1	40		
2	40		
3	40		
4	40		
5	40		
TOTAL:	200		

PERCENTAGE ACHIEVED:

This answer book consists of 17 pages.

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EXAMINATION NUMBER: | | | | | | | | | | | | | |

SECTION A

QUESTION 1

1.1 1.1.1 _____

1.1.2 _____

1.1.3 _____

1.1.4 _____

1.1.5 _____

1.1.6 _____

1.1.7 _____

1.1.8 _____

1.1.9 _____

1.1.10 _____

(10 × 1) (10)

1.2 1.2.1 _____

1.2.2 _____

1.2.3 _____

1.2.4 _____

1.2.5 _____

1.2.6 _____

1.2.7 _____

1.2.8 _____

1.2.9 _____

1.2.10 _____

(10 × 1) (10)

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1.3 1.3.1 _____

1.3.2 _____

1.3.3 _____

1.3.4 _____

1.3.5 _____

1.3.6 _____

1.3.7 _____

1.3.8 _____

1.3.9 _____

1.3.10 _____

(10 × 1) (10)

1.4 1.4.1 _____

1.4.2 _____

1.4.3 _____

1.4.4 _____

1.4.5 _____

1.4.6 _____

1.4.7 _____

1.4.8 _____

1.4.9 _____

1.4.10 _____

(10 × 1) (10)
[40]

TOTAL SECTION A: 40

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SECTION B

QUESTION 2
2.1

CASH RECEIPTS JOURNAL OF ALMA TRADERS – JUNE 2017								
							SUNDRY ACCOUNTS	
Date	**Details**	**Details of analysis**	**Bank**	**VAT 14%**	**Sales**	**Cost of sales**	**Sundry amount**	**Details of sundry accounts**

(9)

CASH PAYMENTS JOURNAL OF ALMA TRADERS – JUNE 2017							
						SUNDRY ACCOUNTS	
Date	**Payee**	**Details of analysis**	**Bank**	**VAT 14%**	**Trading stock**	**Sundry amount**	**Details of sundry accounts**

(7)

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DEBTORS JOURNAL OF ALMA TRADERS – JUNE 2017						
Doc.	**Day**	**Details**	**Debtors Control**	**VAT 14%**	**Sales**	**Cost of Sales**

(4)

DEBTORS ALLOWANCES JOURNAL OF ALMA TRADERS – JUNE 2017						
Doc.	**Day**	**Details**	**Debtors Control**	**VAT 14%**	**Sales**	**Cost of Sales**

(4)

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CREDITORS JOURNAL OF ALMA TRADERS – JUNE 2017						Sundry Accounts	
Doc.	**Day**	**Details**	**Creditors Control**	**VAT 14%**	**Trading Stock/ Inventory**	**Sundry Amount**	**Details of sundry accounts**

(4)

CREDITORS ALLOWANCES JOURNAL OF ALMA TRADERS – JUNE 2017						Sundry Accounts	
Doc.	**Day**	**Details**	**Creditors Control**	**VAT 14%**	**Trading Stock/ Inventory**	**Sundry Amount**	**Details of sundry accounts**

(4)

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2.2

VAT CONTROL ACCOUNT

DATE	DETAILS	FOL	AMOUNT		DATE	DETAILS	FOL	AMOUNT

(8)
[40]

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QUESTION 3
3.1

WAGES JOURNAL OF FLOWER POWER – 18 AUGUST 2017

NAMES	Normal	Week Over-time	Week end Over-time	Gross wage	DEDUCTIONS					NET WAGES
					PENSION	PAYE	MEDICAL	UIF	TOTAL DEDUC-TIONS	
Petal Oliver										
Thabo Green										

EMPLOYERS CONTRIBUTIONS

NAMES	PENSION	MEDICAL	UIF	TOTAL CONTRIBUTIONS
P. Oliver				
T. Green				

(23)

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3.2

3.2.1 **PETTY CASH JOURNAL OF CONFIDENCE COSMETICS – JUNE 2017**

Doc	Date	Details	Petty cash	Stationery	Postage	VAT 14%	Sundry account	
							Amount	Details

(14)

EXAMINATION NUMBER: | | | | | | | | | | | | | |

3.2.2

PETTY CASH ACCOUNT

Date	Details	Fol.	Amount	Date	Details	Fol.	Amount

(3)
[40]

EXAMINATION NUMBER: | | | | | | | | | | | | | |

QUESTION 4
4.1

CASH RECEIPTS JOURNAL OF RIVERSIDE VALLEY – SEPTEMBER 2017								
Doc.	**Date**	**Details**	**Details of analysis**	**Bank**	**Debtors control**	**Sales**	**SUNDRY ACCOUNTS**	
							Amount	**Details**
								(6)

CASH PAYMENTS JOURNAL OF RIVERSIDE VALLEY – SEPTEMBER 2017									
								SUNDRY ACCOUNTS	
Doc.	**Date**	**Payee**	**Bank**	**Creditors control**	**Debtors control**	**Wages**	**Trading stock**	**Amount**	**Details**
									(9)

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4.2 **BANK ACCOUNT**

DATE	DETAILS	FOL	AMOUNT		DATE	DETAILS	FOL	AMOUNT

(3)

4.3 **BANK RECONCILIATION STATEMENT**

	FOL	DEBIT	CREDIT

(6)

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4.4

4.4.1

			GENERAL LEDGER		CREDITORS CONTROL	
			DEBIT	**CREDIT**	**DEBIT**	**CREDIT**

(10)

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4.4.2

MPHO SUPPLIERS

Date	Details	Fol.	Debit	Credit	Balance

IREN SUPPLIES

Date	Details	Fol.	Debit	Credit	Balance

PHETHANY STORE

Date	Details	Fol.	Debit	Credit	Balance

(6)
[40]

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QUESTION 5
5.1

TURN HEADS SALOON				
Asset description: Music system				
General ledger account: Equipment		Bought from: Sollys Ltd		
Date purchased: **31 August 2015**		Cost Price:R12 500		
Depreciation method: **15% per annum diminishing balance method**				
Date sold:		Sold to:		Selling price:
Date	Cost	Depreciation	Accumulated Depreciation	Carrying amount
1 August 2015	R12 500			R12 500
31 Dec 2015				
31 Dec 2016				
31 Dec 2017				

(18)

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5.2

5.2.1

(5)

5.2.2 **ASSET DISPOSAL**

DATE	DETAILS	FOL	AMOUNT		DATE	DETAILS	FOL	AMOUNT

(5)

5.2.3 **PROFIT OR LOSS ON SALE OF ASSET**

DATE	DETAILS	FOL	AMOUNT		DATE	DETAILS	FOL	AMOUNT

(2)

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5.2.4

(3)

5.3

TRIAL BALANCE OF TURN HEADS SALOON – 30 NOVEMBER 2017

	DEBIT (R)	CREDIT (R)
Balance Sheet section		
Capital		
Equipment		
Bank (favourable)		
Petty cash		
Debtors control		
Nominal section		
Sales		
Cost of sales		
Telephone		
Rent income		
Stationery		

(7)
[40]

TOTAL SECTION B: 160
GRAND TOTAL: 200

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